Sa-Dhan
Fostering Inclusive Impact Finance



ANNUAL REPORT
2022-2023

A year dedicated to fostering an Inclusive and Responsible microfinance sector

Always an Inspiration



(1933 -2022)

Ela Ben has played an instrumental role in building Sa-Dhan, we promise to continue the work following her principles to serve the underprivileged.

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Reflections from the Chairperson

Dear Friends,

Since the establishment of Sa-Dhan, the microfinance sector has expanded dramatically over the years. Despite roadblocks along the way, the sector maintained its resilience and emerged from the majority of external events that hampered the sector's growth from time to time. We can proudly state that Sa-Dhan's truly numerous contributions to the industry, from creating the body from scratch to establishing the guidelines for its efficient operation and expansion is really commendable. It gives me immense pride to state that Sa-Dhan has really endeavored to fulfil its vision and has stayed successful in no small measure.

The Fiscal year 2022-23 has been spectacular. The year brought remarkable credit growth for the microfinance sector with GLP of ₹ 3,20,584 Cr as on 31st December 2022, which grew by 25.2%. Post the exacerbating impact of the pandemic and change to the new regulatory framework, the microfinance industry has experienced a shift in market share with NBFC-MFIs regaining their leadership in lending to the economically weaker section by overtaking banks for the first time in four years. This development is noteworthy as it represents the sheer strength of our people and the continued demand for microfinance. The rapid growth of the sector has been catalyzed by forward looking regulations by the Reserve Bank of India (RBI) and Sa-Dhan's various measures to protect the interest of the industry.

After the two-year hiatus caused by the pandemic, Sa-Dhan's 2022 National Conference was a huge success, attracting people from a wide range of industries. The conference was dedicated to the theme "Financial Inclusion," wherein we deliberated on national priorities like micro insurance, micro pension, micro-enterprises, clean energy and climate change, affordable housing, integrated health, water and sanitation, digitization and Microfinance sector, promoting women-led enterprises and how financial inclusion can give a fillip towards the elimination of poverty and the benefits of its universalization. The major highlight of the conference was the launch of Sa-Dhan 2.0. We, at Sa-Dhan, have always stayed at the forefront for the welfare and envisaged strategies as per the dynamics.

This time, as part of its metamorphosis, we focused on rebuilding and strengthening some of our core functional structures and we welcomed a new vision, mission, and tagline into the sphere with the idea of reaching beyond the defined borders of microfinance to enable impact and inclusion for the masses

This year, Sa-Dhan has been very proactive and prominently visible everywhere by virtue of various activities such as the Lenders-MFI Interface, the South India Financial Inclusion Conference, the Uttar Pradesh and Odisha Financial Inclusion Conclave, and other important webinars, thereby paying strong emphasis on enhancing sustainable growth in the microfinance sector, setting the benchmarks for operations, and building resilience.

Sa-Dhan has several goals, including advocating for a conducive policy environment for microfinance, enhancing the capacity of microfinance institutions and promoting responsible lending practices. It has undertaken substantial work in this arena by developing "Corporate Governance: A Guide for Good Governance Practices and a Guide of Best Practices in the Microfinance Sector" to guide our members' demeanor, which emphasizes transparency, fairness, and responsible funding techniques.

As an association, we've remained committed to our resolve to support our members while ensuring that clients are equally cared for. Sa-Dhan, as a part of sector building, has facilitated significant changes in the scheme of the National Scheduled Castes Finance and Development Corporation (NSFDC) to channelize their government funds through MFIs. As part of other initiatives, Sa-Dhan, as a catalyst, has commenced the depositor's education program supported under the RBI-DEA Fund project.

As of now, we have just started with the workshops, a total of 2,250 are to be conducted during the year FY24. On behalf of Sa-Dhan, I would like to express gratitude to the RBI and our MFIs partners for providing abundant support and being part of this activity.

I express my sincere gratitude to all the members of Sa-Dhan and the fellow board members for their contribution in building Sa-Dhan as an apex body for Microfinance and Financial inclusion in the country. I have faith that our unwavering dedication and coordinated efforts can create a prosperous, stable, and long-lasting financial inclusion culture in the nation. Our pioneering spirit and dedication to serving our clients will influence our future and shape our contributions to our nation's growth and development. Thank you for being a part of this journey and let us continue to strive for excellence and impact in all that we do!



H P Singh
Chairman, Sa-Dhan

Reflections from the ED & CEO

Dear Friends,

I am delighted to present the Annual Report of Sa-Dhan for the year 2022-23.

Microfinance sector had a great come back during the year, after almost two years of COVID related disruptions. The new regulatory norms which came into being from 1 April 2022, was adopted quickly and a better performance of the loans was observed across the country. Both the SROs along with other industry bodies like IBA, FIDSC and ASFB came out with a revised Code of Conduct (COC) for the microfinance industry as a whole which clearly laid down the contours of the dos and don'ts in the microfinance sector. The CoC was adopted by all the players, including non-regulated entities.

The microfinance sector recorded 21% growth during the last Financial Year resulting at a total outstanding of ₹ 3.52 lakh crore at the end of the year. In addition, SHG Bank linkage is likely to achieve an outstanding of another ₹ 1.80 to ₹ 2.0 lakh crore business. The recoveries have also improved and become near normal, like in the pre COVID days. Thus, there is an overall positive mood in microfinance sector in the country

The year gone by had been a very fruitful one for Sa-Dhan. First of all, based on a report of Shri N Srinivasan, the sector expert, the Board decided to expand the mandate of Sa-Dhan to include all impact finance players under its fold. Accordingly, a new logo/ tagline, vision, mission, and goals for Sa-Dhan were unveiled on 14 November 2022, during the Sa-Dhan National Conference. The new tagline of **"Fostering Inclusive Impact Finance"** as against the earlier tagline of "Association of Development Finance Institutions" is more inclusive and helps in bringing all Impact players apart from Microfinance institutions under Sa-Dhan.

With the new mandate for Sa-Dhan, it has started working in areas that impact the lives of the poor people, other than financial inclusion, like Climate Change, Water and Sanitation, and Affordable housing.

Sa-Dhan initiated several steps to have a deeper and wider engagement with the important state and district-level stakeholders, in addition to its members. Two State level Financial Inclusion conclaves were organized during the year, one in Karnataka and the other in Uttar Pradesh. Further, with a view to make the Sa-Dhan Conference accessible to more people, a concept of Regional Conference was introduced and the first such Regional Conference was done in Chennai, which was a grand success. In addition, member engagement through State level member meetings, both online and physical meetings, focused discussions with groups of MFI members were also carried out to understand the needs of the different segments of member institutions.

Sa-Dhan National Conference has always been a much-awaited event. Last year we had our 17th Sa-Dhan National Conference in Delhi, which was a great success, considering the participation, range of topics discussed, and the quality of speakers attended.

More than 500 participants from MFIs and other developmental institutions attended the Conference. With the change in the mandate, it was also decided that the Sa-Dhan National Conference should focus on Inclusive growth, henceforth.

Another initiative taken during the year was to organize a Lender-borrower interface meet at Mumbai. Senior executives from more than 30 lender institutions participated in the meeting and interacted with the borrowers, and the MFIs. It created a very positive vibe for accessing credit from lending institutions. In addition, online meetings were organized for smaller MFIs with the major banks like SBI and PNB to take forward the funding possibilities from these banks for the smaller MFIs

Our excellent engagement with the various stakeholders helped us to move forward effectively. We had several meetings with Deputy Governors, Executive Directors, and CGMs of RBI during the year. Several important issues of the Microfinance sector were effectively taken up with the RBI. Our SRO Committee members and the senior officers of Sa-Dhan had a meeting with ED, RBI where some of the sectoral issues were discussed. Another highlight of the year was that, on our request, the Deputy Governor looking after the Regulation, had a direct interface with selected 15 MFIs through an online meeting. We also engaged with Chairman NABARD and CMD SIDBI several times and also interacted with senior officers of these institutions on a regular basis.

Our interactions with the Central and State level Government officials were also very high during the year. Our agenda with all these significant stakeholders has been to expand financial inclusion to the country's deepest pockets and to the financially unreached, supporting MFIs to work effectively under the new regulations, ensure liquidity and technical assistance to medium and small MFIs etc.

Sa-Dhan was also involved in knowledge dissemination and capacity building programs through webinars, conferences and conclaves. During the year several webinars were conducted which included topics like Compliance, Governance, Fraud Management, Risk Management, Implementation of New Regulations, HR, Interest Rates and Pricing etc. In addition, we also brought out publications apart from our regular Bharat Microfinance Report (BMR), Quarterly Microfinance Reports (QMR), Microfinance Directory, Corporate Governance - A guide to Good Governance Practices and Best Practices in Risk Management, HR, Compliance and Fraud Management.

There are three distinct verticals in Sa-Dhan. The first one deals with member development, capacity building, policy advocacy etc. The second one is for SRO activities. The third one is on implementing various developmental projects which help developing products and processes in MFIs and also benefit the ground level clients.

The third vertical got a traction during the year, with implementation of several projects like promoting climate resilient agriculture, water and sanitation products, affordable housing, financial and digital literacy. We have also got in principal approval for a massive depositor's awareness programs to be funded by RBI under DEA Fund, which became operational from May 2023.

I take this opportunity to thank our Board, Board Committees and SRO Committee for their guidance and support to Sa-Dhan during the year, which helped us to navigate to new frontiers. I also thank RBI, NABARD, SIDBI and the major stakeholders for their continued support during the year. Above all the support from the member institutions have been very encouraging. I thank each one of them. I also thank the donor institutions.



funding agencies, all well-wishers and stakeholders, who supported Sa-Dhan in its journey last year. In this connection, our special thanks to GIZ, Water.org, Finish Society, Tata Trust, HSBC, ADB and several other funding partners. Our conferences are also supported by many institutions. My thanks to all of them. Last but not the least, the involvement and commitment shown by the entire staff of Sa-Dhan for making it a successful year is beyond words and I thank each one of them for the same. We are determined to raise the bar for Sa-Dhan in the current year and work for the development of each member institution, the sector and above all the clients at the bottom of the pyramid.

With warm greetings!

Jiji Mammen
ED & CEO, Sa-Dhan

Office bearers



H P Singh (Chair)
Satin CreditCare Network Ltd.



Jayshree Vyas (Co-Chair)
Sewa Bank



Praseeda Kunam (Treasurer)
Samhita Community Development Services

Board of Directors

Dr Diwakar Hegde	MD, NABFINS Ltd.
Dr Medha Purao Samant	Chief Functionary, Annapurna Mahila Co-op Credit Society
Mr Royston Braganza	CEO, Grameen Capital India Ltd.
Mr Kuldip Maity	MD, VFS Capital Ltd.
Mr Sadaf Sayeed	CEO, Muthoot Microfin Ltd.
Ms L Leivang	CGM, MCID NABARD
Mr Brij Mohan	ED (Retired), SIDBI
Mr Jugal Kishore Mohapatra	IAS (Retd), Secretary (Retd), Ministry of Rural Development, GoI
Mr U S Paliwal	ED (Retired), RBI

SRO Grievance Redressal Committee

Mr U S Paliwal	Former ED, RBI
Mr S K Mitra	Former ED, NABARD
Mr Suresh Krishna	Former MD, CreditAccess Grameen
Mr Mukul Jaiswal	MD, Cashpor Micro Credit
Mr Surendra Srivastava	Ex GM SIDBI & Ex CFO, MUDRA

SRO Enforcement Committee

Mr Jagadananda	Former Information Commissioner Odisha and Member Secretary, CYSD
Mr N Srinivasan	Former CGM, NABARD and International Consultant, Sector Expert
Ms K.C. Ranjini	Founder & Chairperson, MI India Development Trust

The year that was

Introduction

During the financial year 2022-23 microfinance portfolio of all lenders grew 21 per cent to more than ₹ 3.52 lakh crore at the end of the financial year as against the combined portfolio of ₹ 2.89 lakh crore in the previous year. In the last year, the Non-Bank Finance Companies-Microfinance Institutions (NBFC-MFIs segment) witnessed a faster growth in portfolio at 37.5 per cent as against 3.2 per cent for banks. On the asset quality front, proportion of loans unpaid for over 90 days have improved to 1.06 per cent from 2.43 per cent as of March 2022. The Portfolio at Risk over 30 days improved to 2.2 per cent from 5.3 per cent.

With the normalization of business post pandemic and the introduction of the of the new Harmonized Regulations, the sector has started performing very well. Sa-Dhan as an industry association continued with the effort to support its members and the industry. The sector has witnessed several changes and Sa-Dhan has also undergone several transformations in terms of inclusivity and expansion. Sa-Dhan as it is entering the silver jubilee year, has repositioned itself by unveiling of a new logo, Mission & Vision showing more inclusiveness encompassing all development players which impact the lives of the poor.

From a portfolio contribution perspective, Bihar, Tamil Nadu, West Bengal, Uttar Pradesh and Karnataka were the top five MFI markets in the country and account for approximately 55 per cent of the total portfolio.

During the course of the year, the SRO activities of Sa-Dhan was also at a highest ebb with several Policy Advocacies, publication of quarterly and annual reports on the sector, meeting and apprising the stake holders including RBI regularly, and keeping an eye on sectoral developments. Highlights of the activities are as follows.

A Self-Regulatory Organization (SRO) Monitoring and Administering the Industry

Sa-Dhan since 2015 has been designated as a Self-Regulatory Organization (SRO) for the microfinance industry. While playing the role as an SRO, Sa-Dhan seeks to ensure that proper policies, processes, and systems are put in place by members to ensure adherence to the regulatory and industry standards. SRO, particularly focusses on responsible lending, customer welfare and protection. Sa-Dhan strives to enhance and maintain standards in all areas with a view to protecting and promoting the interests of MFIs and their clients. It also reports to the Reserve Bank of India regularly on sectoral development and concerns that help them to take informed decisions.

A1 Launch of the Revised Industry Code of Conduct (CoC)

Sa-Dhan collaborated with MFIN and other industry associations like Finance Industry Development Council (FIDC), Indian Banks' Association (IBA) and Association for Small Finance Banks (ASFB) to finalize the revised CoC and to ensure alignment with the new Regulations. This is the 4th edition of the CoC to reflect viewpoints of all players of microfinance sector, and make it more simplified yet a strong roadmap for all practitioners in the Microfinance space to follow. Greater emphasis has been given to GRM (Grievance Redressal Mechanism) practices as well as data protection, including cyber security. Sa-Dhan also recommended a periodic review of Board approved policies on several parameters, more reasonable targets for loan officers based on the repayment capacity of clients, and increased focus on employee well-being and security. Sa-Dhan shared additional guidelines along with CoC on maximizing client protection, reducing over-indebtedness and ensuring responsible finance, as a guidance note to its members.



The CoC was launched virtually in October and later released at the Sa-Dhan National Conference.

A2 Field Assessment Visits – Getting the Pulse at Grassroots Level

One of the key activities, being an SRO, is to undertake regular field assessment visits. These visits help to understand the operations of MFIs particularly relating to the implementation of Code of Conduct and RBI Regulations. It also looks into over indebtedness, compliance of proper documentation procedures, bundling of products, etc. During the year, Sa-Dhan embarked on field visits spanning 17 states covering 103 districts and visiting 231 branch offices of the MFIs. Sa-Dhan team interacted with 1,439 clients and 895 MFI staff in these districts.

Some of the observations that came up from these visits are:

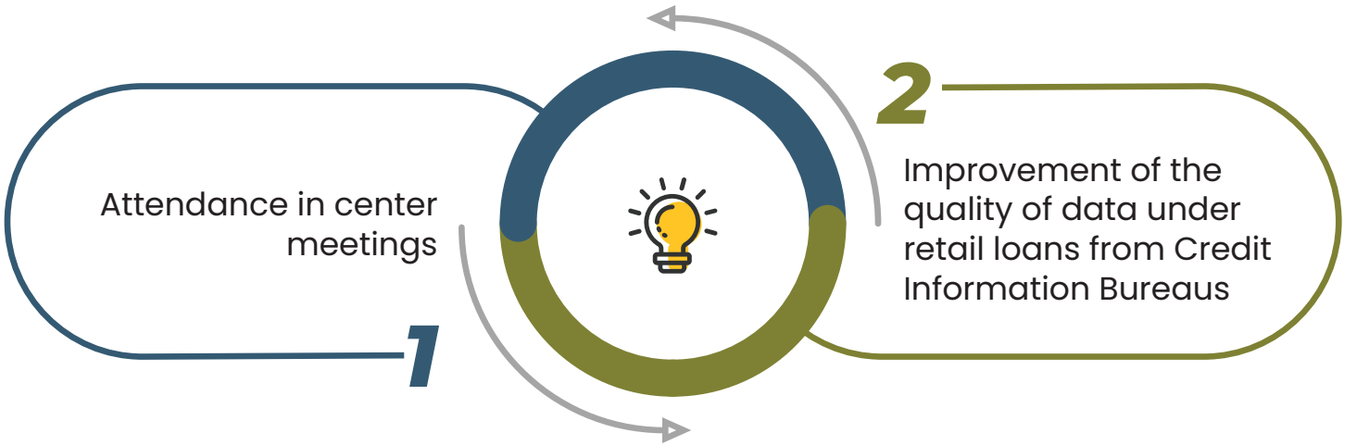


1. Increased digital collections at the field, especially after the pandemic

2. Better assessment of household income and indebtedness after the new Regulation has been put in place

3. Reduction of multiple lending due to the use of comprehensive credit information

Some of areas where improvement is required are:



A3 Engaging with the RBI and other stakeholders for a Conducive Sectoral Policy



Sa-Dhan regularly interacts with the RBI and closely works with the regulator to ensure the healthy growth of the sector with a focus on client protection. We engaged with the DG, in charge of Financial Inclusion and the DG, in charge of the Department of Regulations on various issues, challenges and concerns of the sector, such as concerns regarding the new regulations on definition of Qualifying assets norm. In this vein, Sa-Dhan facilitated a face-to-face interaction between select practitioners with the DG. Subsequently, Sa-Dhan has also shared an analytical note regarding the modifications that can be brought in for qualifying assets definition.

SRO committee of Sa-Dhan met the ED and briefed about the developments in the sector especially post-pandemic and post-implementation of the New Regulatory norms, scope of widening the fold of financial inclusion to bring the under banked population to the ambit of financial inclusion by improving their economic status Subsequently, Sa-Dhan shared a concept note with the RBI on these for the consideration for policy evolvement.

Sa-Dhan's team also engaged with the Regional Directors and other senior officers of RBI in Uttar Pradesh, Tamil Nadu, Kerala, Karnataka, Gujarat, Punjab, Uttarakhand, West Bengal, Jharkhand and Odisha for state specific issues during the year.

A4 Surveys on Challenges in implementing the new regulations in the field

With a view to understand the implementation of the new guidelines and its challenges if any, and to give a proper feedback to the RBI and other policy level institutions, Sa-Dhan conducted two surveys. The responses showed that most of the organizations had a smooth transition and only a very few faced major problems in implementing the new regulations, initially. The training of the field staff and higher rejections while sourcing new clients were the two main challenges faced by member institutions. It was also observed that the operational costs have increased after the new regulations have come into effect. There has been a significant increase in the Credit Bureau rejections, on account of higher repayment obligations and higher levels of income of household income exceeding the limit.



A5

Microfinance at District Levels – Analyzing potential risk scores at district level

The potentially high-risk geographical areas were analyzed at the district, pin code and institution levels and shared with the RBI, member MFIs and other stakeholders regularly.

These reports are beneficial for Sa-Dhan's members strategy initiatives and risk management processes.

Districts are evaluated on three parameters– (a) percentage of active microfinance borrowers (legal form agnostic) to the total households (b) percentage of borrowers having more than 2 lenders (legal form agnostic) and more than ₹ 60,000 outstanding and (c) percentage of borrowers having more than ₹ 1.25 lakhs outstanding. Over the past year, there was no district which had multiple lending above 10% and the number of districts having over indebtedness above 10% were mainly from J&K, Uttarakhand, Telangana, Andhra Pradesh etc. However, the number of districts having over indebtedness above 10% have been decreasing gradually over time probably due cautious lending adopted by the lenders as part of their risk management strategy.

Also top 100 districts are identified based on eight parameters viz. over indebtedness, multiple lending, PAR 30+ dpd, PAR 30+dpd difference (Q-o-Q), PAR 180+ dpd economic potential, Growth ratio and the number of lenders. Risk score is calculated for each district based on the eight parameters mentioned above. The districts are ranked on each parameter and weightage are given on the rank to calculate a comparative risk score for each district.

The score is then adjusted to fit a scale of 0 to 10 where 0 denotes the lowest risk and 10 denotes the highest risk. Over the past 2 years out of the top 100 districts, close to 45 districts are from Eastern and North Eastern states such as Assam, Odisha, West Bengal, Sikkim, Meghalaya, Tripura, Arunachal Pradesh etc.

Furthermore, the data for top 10 states in descending order of portfolio were analyzed regularly to understand the potential for lending and further microfinance activities in various geographies based on their indebtedness status and PAR values. For the analysis, the "economic potential" of an area and how it inter-relates with other parameters such as over-indebtedness, PAR, multiple lending, growth ratio number of lenders etc.. was analyzed at the district and pin code level.

Economic potential has been evaluated on the basis of market access, economic density, level of urbanization, human capital and local transport. Interestingly, most districts of Bihar, Madhya Pradesh, Uttar Pradesh, Kerala, etc. have PAR 30+ dpd higher than their respective state averages. Furthermore, there are a few pin codes where the PAR 30+ dpd level is at 100% while the majority of the pin codes have PAR 30+ dpd below 30%. This information was shared with members for their business decisions.

A6 Quarterly Sectoral Reports

The self-reported data submitted by the MFIs and data sourced from Equifax, a Credit Information Company, on a quarterly basis, were analyzed to develop the QMR (Quarterly Microfinance Report on the Microfinance Sector) which is shared with the RBI and all the stakeholders. These Reports help to develop an in depth understanding of the growth of Client Outreach, Number of Active Loans, Number of Unique Borrowers, Loan Portfolio Outstanding, BC Portfolio, Disbursements, Portfolio Quality, Staff Productivity, Staff Attrition Rate, and Financial data like funding from different sources, region-wise change, and shifts. More than 140 MFIs contributed data for the QMF Report this year.

A7 Advisories



Sa-Dhan has issued several Advisories along with a Compliance checklist and recommended the members ensure effective compliance with the regulatory framework, products to suit life cycle needs, having in place regular client engagements, robust GRM, adherence to the Model Code of Conduct of Election Commission, staff training, strong risks and audit process, Disaster relief, etc.

Additionally, Sa-Dhan has shared advisories to its member MFIs which have a high portfolio exposure (more than 25%) in the top 50 potential risk districts to help them relook at their exposure in these districts.

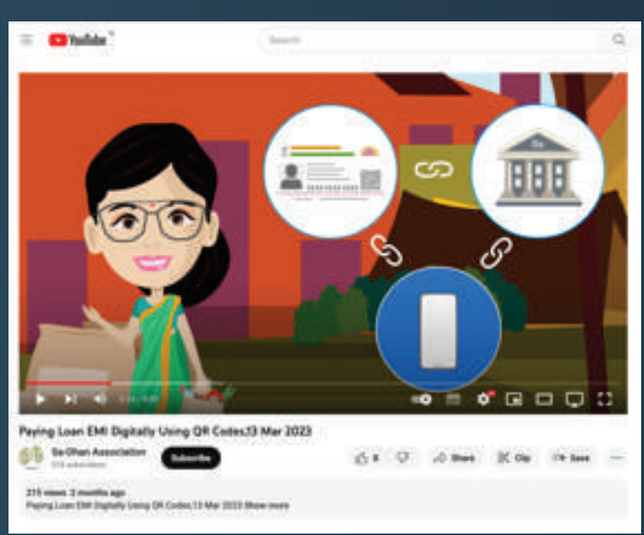
These advisories serve as an early warning indicator and also assist them in their risk management strategy. During the year the majority of the MFIs having higher exposure in the top 50 potential risk districts are mainly from the states of West Bengal, and Assam and a few MFIs are from Tamil Nadu and Odisha.

Further, there were a few reported of incidents of forging of the Aadhaar cards/ fake Aadhar cards in some districts of Uttar Pradesh, Bihar and Jharkhand. It was also observed by the Sa-Dhan representatives from the field visits and member interactions that usage of forged Aadhaar cards were submitted by the clients as their primary KYC. In this regard, an advisory was issued to sensitize the members to avoid such fraud incidents.

Sa-Dhan took up with various State Election Commissions for allowing regular and ongoing activities of Micro Finance Institutions and Small Finance Banks during the period of Model Code of Conduct in the Legislative Assembly elections during the year.

A8 Usage of Dubious Apps

It was observed that a few digital lending Apps had fraudulently displayed the names of member MFIs' as their lending partners. After detailed interactions with members, it was observed that they were not associated with any such App and these Apps were misusing their names. The Fintech Association for Consumer Empowerment (FACE) had also highlighted the issue, Sa-Dhan promptly reported the issue to the RBI, and Google and had shared an Advisory to the member MFIs to sensitize the clients against such apps. It had been advised that an investigation should be carried out to determine if any of the borrowers are availing of loans from such dubious apps. Sa-Dhan also requested all its members to share any such event with the local police.



B Sa-Dhan's efforts in Policy Advocacy and Member Development

As an industry association, Sa-Dhan has been at the forefront in sector and member development initiatives, through its policy advocacies efforts with various stakeholders viz. Finance Ministry, RBI, SIDBI, NABARD, state governments, Election Commission etc.. Sa-Dhan is working actively to bring the key stakeholders like important government functionaries, MFIs, Banks, and other agencies together to explore opportunities and demands in the state. A snapshot of Sa-Dhan's various advocacy initiatives is shared as below.

B1 State level

Sa-Dhan regularly engaged with various state governments especially the department of finance and rural development, to apprise about the local issues. Such interactions also helped in building a better understanding of microfinance activities and how it is serving the government interest of financial inclusion.

In its holistic approach for the betterment of the industry, Sa-Dhan continuously engaged with the state level heads of NABARD, SIDBI, SLBC and major banks, the major sectoral supporting institutions. The engagements ranged from providing information to tapping into their resources for the sector. These institutions also supported Sa-Dhan profusely for various events and the same is acknowledged with gratitude.

B2 Interaction with SIDBI

The regular interaction with CMD SIDBI and other senior officials for better flow of credit to microfinance sector and extending support in the equity funding was one of the focused areas during the year. As a result, SIDBI initiated steps to extend support from India Microfinance Equity Fund (IMEF) to smaller MFIs with a positive approach. Further, SIDBI's support was sought for several developmental activities like Study the impact of microfinance on the borrowers in India, widening financial inclusion to the unreached geographies and onboarding smaller MFIs on Udyam Assist Platform.



Sa-Dhan is also in discussion with SIDBI to enhance the digital capabilities of smaller MFIs.

B3 The Udyam Registration Portal

Sa-Dhan along with SIDBI took steps to onboard enterprises on the Udyam Registration Portal (URP) of MOMSME by using Udyam Assist platform. To handhold the MFIs and to create awareness, Sa-Dhan organized webinars along with SIDBI. As taken up earlier, MOMSME had agreed to allow a simplified assist platform for smaller enterprises supported by MFIs.

Engagement with NABARD B4



Sa-Dhan team met Chairman, NABARD and discussed the possibility of jointly working for the promotion of the microfinance sector, mainly in the SHG Bank linkage program. The NABARD Chairman also chaired a session on celebrating the three decades of SHG Bank linkage in the National Conference during November 2022. The chairman was also the chief guest for two of the major events of Sa-Dhan viz.

During the year Sa-Dhan undertook a study of E-Shakti (Digitization of SHG Books and transactions) project of NABARD in 5 states, 10 districts and over 530 SHGs. Also, it hosted two financial inclusion Conclaves in Karnataka and Uttar Pradesh and Regional Conference in Chennai with NABARD being the major sponsor. Similarly, it also got a major support for the National Conference and Regional Conference at Chennai.

Also, the Lender-MFI interface at Mumbai, and at the first Regional conference at Chennai. Apart from these, interactions were also held with CGMs of major departments relevant to microfinance sector including MCID, OFDD, FSDD, DEAR etc. Similar kind of interactions were made with the Regional heads of NABARD in UP, Uttarakhand, Punjab, Haryana, Gujarat, Karnataka, Kerala, Tamil Nadu, Odisha Jharkhand, Chhattisgarh and West Bengal. The Regional Coordinators interacted with most of the Regional Office officers.

Uttar Pradesh State Financial Inclusion Conclave: The State level financial Inclusion Conclave supported by NABARD was organized by Sa-Dhan at Lucknow. The conclave was attended by Senior Government Officials, Regulators, Bankers, MFIs and other agencies who are involved with financial Inclusion activities in the State. They included to RD RBI, CGM, NABARD and SLBC Convenor. The conclave deliberated on the present status and future road map of Financial Inclusion in Uttar Pradesh. The topics covered were,



Deeper Understanding of Microfinance Sector of Uttar Pradesh through lens of data, Financial Inclusion in Uttar Pradesh: Building of Facilitative Ecosystem, Microfinance sector: Enabler for financial inclusion in Uttar Pradesh, Ecosystem Facilitators: Bridging the gaps and requirements to reach the unreached. Experts mentioned that the state has huge potential in microfinance to grow ten time from the current size of the industry that is estimated to be Rs 24,000 crore in a five-year time. But they also warned the need to follow cautious and responsible lending and advocated the need to expand credit into less penetrated areas.

B5 Engagement for funds from National Schedule Castes Finance and Development Corporation

Sa-Dhan engaged with National Scheduled Castes Finance and Development Corporation (NSFDC) to mobilize funds for the sector and giving suggestions to revive their existing lending policy. NSFDC has come up with a scheme to support borrowers belonging to Scheduled Castes and having annual family income up to ₹ 3.00 lakhs. A pilot a program. in priority states such as UP, Rajasthan, MP, Bihar, Odisha, Jharkhand and Manipur were launched during the year. Sa-Dhan is supporting NSFDC with appropriate data and shortlisting MFIs to roll out the program pan India successfully.

B6 Engaging with Ministries at Central and State Governments for the promotion of microfinance activities

During the course of the year, Sa-Dhan actively interacted with various ministries at the center and state governments focusing on issues that will enable smooth functioning of the microfinance industry. Sa-Dhan reached out to the ministries with various representations and provided inputs for Union budget preparation, aimed at supporting the industry.

B6 (a)

Meeting with Minister of Finance

Sa-Dhan reached out to Dr Bhagwat Krishanrao Karad, Minister of State for Finance, Government of India and briefed about the activities of Sa-Dhan and the developments in the sector. The minister was also invited to attend the National conference, which he agreed to but could not attend due to last minute engagements.

B6 (b)

Meeting with Secretary Water and Sanitation, GOI

Sa-Dhan had a meeting with Secretary, Ministry of Water and Sanitation, GOI and explored the possibility of working with GOI for promoting water and sanitation programs.

B6 (c)

Meeting with Joint Secretary, Ministry of Economic Affairs

Sa-Dhan team met Joint Secretary, Ministry of Economic Affairs and in charge of G20 programs, and discussed about the possibility of Sa-Dhan working with Government for showcasing the success of microfinance program in India.

B6 (d)

Meeting with Finance Minister and Principal Secretary of Finance:

Sa-Dhan reached out to the various state ministers and government representatives at the States to update them on the developments and challenges faced by the microfinance sector. Sa-Dhan urged supporting microfinance activities in the states by extending conducive e nvironment and financial support.

The interactions included meeting with the Additional Chief Secretary Finance Government of Uttarakhand, Secretary Department of Economic Affairs of Gujarat States, Special Secretary Lucknow, Punjab, Special Secretary of Finance Jharkhand, Director Institutional Finance of Gujarat and Punjab etc.

B7 Interaction with the SLBC and Banks:

Sa-Dhan, as part of its field level outreach program, interacted with the senior bankers, SLBC convenors and District level lead banks during their visit to states and districts and discussed about microfinance activities. These meetings included meeting with CEOs of IDFC First Bank, ESAF SFB, Jana SFB, Equitas SFB, Ujjivan SFB and Fincare SFB. Many other senior executives in the ranks of ED, CGM and General Managers were also visited at different states and apprised about the activities of microfinance sector in their respective states.

B8 Engaging with SRLM in Uttarakhand and Kerala

Being a National Support Organization (NSO), Sa-Dhan extends necessary support to the State Rural Livelihood Missions to apprise them the activities and the operations of the microfinance sector. During the year, Sa-Dhan team visited the SRLMs of Kerala and Uttarakhand to discuss the livelihood opportunities with the help of microfinance institutions that gives income generating loans. Sa-Dhan is in discussions with SRLM Uttarakhand in capacity building of SHG-members.

B9 Handling the crisis in different states

Sa-Dhan has been at the forefront in implementing and ensuring adherence to the industry regulations. It also keeps a close watch on the developments on the field and take necessary action to prevent any negative impact on in the field, whether it was in Maharashtra, Bihar, Odisha, Jharkhand, West Bengal or Rajasthan.

B9 (a)

Fraudulent activities at Amravati

A major ringleader network had disrupted microfinance operations in the area of Vilas Nagar in the Amravati district of Maharashtra. The estimated fraud amount was approx. ₹ 33 lakhs from four MFIs and SFBs. Sa-Dhan immediately brought the incident to the knowledge of the senior officers in the local administration reduced its impact to prevent it from spreading to other neighboring districts.

B9 (b)

Fraud Incidents of staff in Bihar and Odisha

There were field reports of increased Incidents of fraud by the staff members of MFIs in Bihar and Odisha. Sa-Dhan intervened and coordinated with the local administration to resolve the matter. Additionally, Sa-Dhan requested all the members to instruct their branch officials to submit an information brochure to the local police station as a future reference

B9 (c)

Misuse of Aadhar Enabled Payment System

During our regular field visits, small group discussions with clients were organized in some places. During such meetings, it was observed that Aadhaar Enabled Payment System (AEPS) was misused by the ringleaders in the Topchanchi area in Jharkhand, Keonjhar district of Odisha and also in Bankura in West Bengal. Sa-Dhan undertook initiatives to create awareness and usage of EKYC documents. Additionally, Sa-Dhan shared advisories with members to educate their clients on such incidents.

B9 (d)

Unrest in Punjab

There were incidents of unrest due to external intervention by vested elements which hampered the recovery process in Hoshiayarpur district of Punjab. Sa-Dhan's timely interaction with the District administration including the District Commissioner and Superintendent of Police, helped to resolve the matter.

B9 (e)

Appeal to the District Magistrate, West Bengal

In an unfortunate incident of killing of microfinance field staff in West Bengal, Sa-Dhan and West Bengal microfinance association approached the District Magistrate of Pashchim Midnapore to sought their support for speedy legal process, arresting the culprits and help maintain a law and order situation in the district for smooth operations of the microfinance and banking activities.

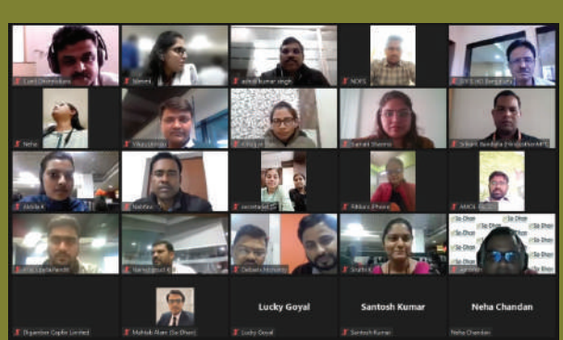
B9 (f)

Managing an Unprecedented situation in Udaipur

There were two back-to-back Member meetings to address the unfortunate incident regarding a death that took place at Naakola village of Kotra Block of Udaipur district and some media linking the same with MFI loans. Sa-Dhan team took timely action and met the district authorities including District Collector and apprised the matter. The media was also briefed about the activities of MFIs in achieving financial inclusion in the country.

B10 Virtual Meet with Small, Mid -Sized and Large MFIs

With a view to elicit issues plaguing different segments of MFIs, Sa-Dhan organized three consecutive meetings with the members by dividing them based on their portfolio size, small, medium and large MFIs. The action points emanated from these meetings are being addressed separately.



B11 Supporting the Sector in times of natural calamities

Sa-Dhan also a played a constructive role during the distress events which caused miseries to the borrowers. The Assam and Odisha floods were two such events which brought the MFIs together to support the suffering people. Sa-Dhan took the lead in encouraging member institutions and also monitor the progress.

C Studies and publications

Publications

Throughout the year, Sa-Dhan collected data from various MFIs to understand the industry scenario and observe the trends. The data so collected is analyzed and reports are published or suitable advisories are issued to member institutions. Some of the important publications during the year is as follows:

C1 Bharat Microfinance Report (BMR) 2022

Sa-Dhan has been publishing The Bharat Microfinance Report since 2004 to showcase the performance of MFIs among stakeholders, notably Policy maker/ Regulator, Financial Institutions, and Banks. The report helps in increasing transparency, build credibility and help the investors to support the sector. The BMR relies on the primary data gathered from MFIs across India and secondary data culled out from Credit Information Bureau and other sources. BMR is the most comprehensive report of the industry that collates data from NBFC-MFIs, Banks, SFBs, NBFCs and Nonprofit MFIs.



The Bharat Microfinance Report (BMR) of FY 2021-2022 was released at the Sa-Dhan National Conference by Shri Jayant Sinha, Chairperson of the Standing Committee on Finance, Parliament of India in the presence of Shri Anil Kumar Sharma, Executive Director, Reserve Bank of India and Shri V Vaidyanathan MD & CEO of IDFC First Bank. The last BMR covers data collected from 213 MFIs and 9 SFBs, including 62 non-members of Sa-Dhan.

The 213 MFIs represent around 99 percent of the microfinance sector of India and includes data on MFI client outreach, loan portfolios, disbursements, portfolio quality, profitability and key financial ratios. The microfinance institutions loan portfolio outstanding as on March 31, 2022 is ₹ 1,35,099 crores.

Key Highlights of the BMR 2022



Client Outreach: 448 lakhs
Outreach: 448 lakhs

Gross Loan Portfolio Out-standing of MFIs
₹ 1,35,099 Cr.

Disbursement during the year ₹ 1,13,211 cr.

Non-Performing Assets:
2.05 %

ROE: 4.26%

ROA: 1.11%

CAR: 28%

C2 Microfinance Directory 2022

Since 2014, Sa-Dhan has been periodically updating and publishing a comprehensive directory for the Industry with the aim of providing authentic data regarding the registered MFIs operating in India. Sa-Dhan has released the 5th version of **Microfinance Directory** that carries details of legal forms, headquarters, year of establishment, operating states, client outreach, portfolio, etc. during the Sa-Dhan national conference in November 2022. The new edition (5th edition) of the MFIs directory contains details of 224 MFIs across 21 States/ UTs. The Directory is shared with District Magistrate's offices, SP's office, MFIs and government stakeholders of every state



C3 Corporate Governance - A Guide for Good Governance Practices (a complete guide on corporate governance)

Sa-Dhan launched a book by name Corporate Governance - **A Guide for Good Governance Practices** during the Access livelihood conference in January 2023 with a view to help MFIs and other organizations for better corporate governance. The guide is an initiative of Sa-Dhan to strengthen the Corporate governance and management system in microfinance institutions and other institutions. The book covers different aspects of Governance structure, Emerging Roles and trends, Adopting Good Governance in MFIs, MFI Audits and controls etc.. The book was launched by Mr N S Vishwanathan, Ex Deputy Governor of the RBI in the presence of prominent leaders from the sector. The leaders appreciated Sa-Dhan for taking this initiative.





C4

Guide on Best Practices on Risk Management, HR, Fraud Management and Compliances

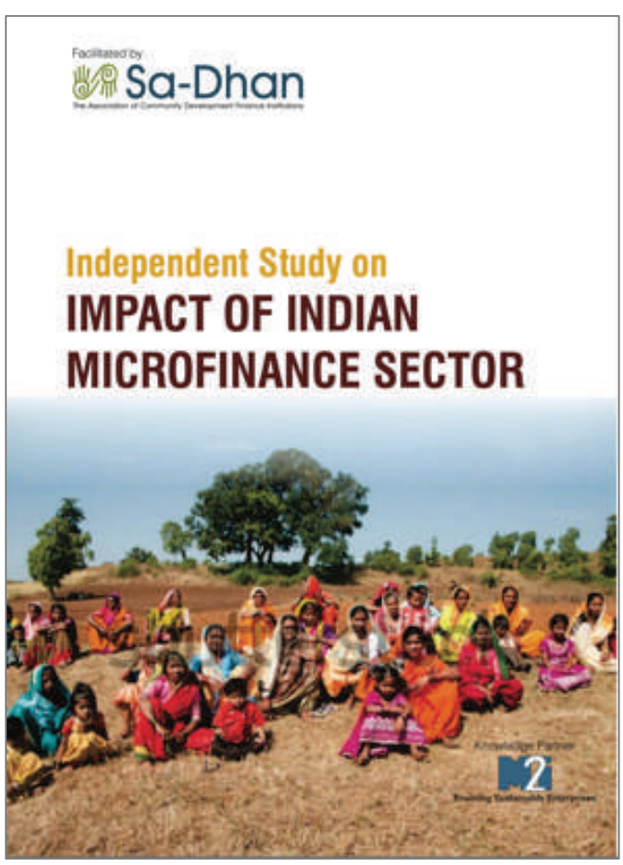
In order to encourage good practices in MFIs, Sa-Dhan brought out the first series of books on 'Best Practices in the Microfinance Industry' by compiling the best practices adopted by different MFIs.

For this series of Best Practices focuses on topics such as Risk management, Human Resources Management, Fraud Management and Compliance through detailed interviews with key functionaries of MFIs and Microfinance experts and consolidating the key takeaways from the webinar. The book was released during the Regional Conference on 22 February 2023 in Chennai.

C5

A Study on "Impact of Microfinance on the lives of borrowers

Sa-Dhan commissioned an independent study titled, "Impact of Microfinance on Income Enhancement and Livelihood Promotion". Apart from assessing the effect of microfinance on financially marginalized population the study will help us to reach out to the policy makers thereby ensuring the necessary actions are implemented. To make this study more insightful, an independent Advisory Committee was set up to guide the conduct of the study. The study findings were released during the National Conference in November 2022. The findings were quite encouraging. It is planned to do an extensive study covering more samples so as to get more acceptable results.





C6 Study to do the Evaluation of E-Shakti Project

Sa-Dhan submitted the report of an Evaluation of the E-Shakti Project commissioned by NABARD. The purpose of the study was to assess the performance of the E-Shakti Project, and how it will improve better credit linkages of the SHGs with timely data digitization through the E-Shakti Portal. The study came up with recommendations for a more collaborative approach between NABARD and NRLM project for further effectiveness of the E-Shakti digitization process.

D Member Affairs

Sa-Dhan with its new mandate of being an association of inclusive impact financing institutions strive to bring all players working towards bringing impact to the lives of poor people. As a result, there are 220 members under Sa-Dhan fold. Out of these – there are Microfinance lenders and others are support institutions as well as other impact institutions. During the year the following new members joined as members of Sa-Dhan.

D1 List of Sa-Dhan Members as on 31st March 2022

The list of members of Sa-Dhan is given in the Annexure. Following are the new members joined Sa-Dhan during the year.

	New Members	State	Type of institution
01	Unnayan Bharat Finance Corporation Pvt. Ltd. (UBFC)	Delhi	MFI
02	Neyyattinkara Integral Development Society	Kerala	MFI
03	Wesghats Micro Finance Ltd.	Tamil Nadu	MFI
04	Servitium Micro Finance Pvt. Ltd.	West Bengal	MFI
05	Sarvam Charitable Trust	Tamil Nadu	MFI
06	Sigaram Trust	Tamil Nadu	MFI
07	KSR Capital Services Ltd.	Delhi	MFI

	New Members	State	Type of institution
08	Mahatma Gandhi Foundation for Rural Development	Kerala	MFI
09	Share India Fincap Pvt. Ltd.	Uttar Pradesh	MFI
10	Grameen Microfinance Trust	Tamil Nadu	MFI
11	Pragati Finserv Pvt. Ltd.	Telangana	BC
12	Jeevan Utthan Financial Services Pvt. Ltd.	West Bengal	MFI
13	Fingel Management Services Pvt. Ltd.	Maharashtra	BC
14	Sai Shakti Mahila Technical & Development Services	Madhya Pradesh	MFI
15	NABSAMRUDDHI Finance Ltd.	Maharashtra	Impact Finance Institution
16	Sushravya Upliftment Foundation	Karnataka	MFI

E Sa-Dhan's Efforts for Sector building

E1 Lenders Meet



After a very long period, Sa-Dhan organized a Lender- MFI interface in Mumbai on 8 February 2023. More than 120 participants from 30 lending institutions and 30 MFIs attended the Meet. There was excellent interaction between the lenders and MFIs. While the lenders were very positive regarding funding the MFIs, they also indicated that there is a need for greater transparency and better governance practices in MFIs to get the confidence of lenders. Chairman NABARD, Deputy Managing Director SIDBI, Managing Director & CEO IDFC FIRST Bank, Chief General Manager IDBI, CGMs of SBI, NABARD, SIDBI and other senior-level executives. from MUDRA Ltd, NABSAMRUDHI, Ananya, ICICI Bank, HDFC Bank, PNB, YES Bank, BOB, Bandhan Bank etc. attended the meet.

E2 Member level Engagements

During the year several Member Meets were organized in States like Jharkhand, Tamil Nadu, Assam, Ahmedabad, Punjab, Kerala, Maharashtra, Uttar Pradesh, Uttarakhand, Madhya Pradesh and Rajasthan. These meets were organized with a view to build better rapport with member institutions and other stakeholders, to get a feedback of the state level issues, understand good practices and also to guide them regarding various aspects of microfinance sector.









F Special Projects

In line with its mission and vision, Sa-Dhan undertakes various development activities to promote an inclusive and sustainable society. The primary objective of microfinance has always been developmental in nature, aimed at removing poverty and hunger and providing a decent life to the people. The activities are in line with the Government agenda on various thematic areas. Furthermore, all the development activities are aligned with the Sustainable Development Goals (SDGs) enunciated by the United Nations.

F1 Reaching out to the last mile through Financial Literacy

F1 (a) Financial Literacy through RBI-DEA Pilot Project

Sa-Dhan in partnership with the RBI under the Depositors Education Awareness (DEA) Scheme is organizing 2,250 workshops to educate clients on financial literacy in a span of one year during the current financial year. The background work for the sanction of this prestigious project was done in the previous financial year. The goal of organizing these workshops is to educate 1,35,000 clients of member MFIs regarding depositors-related matters. After several deliberations with the RBI, which spanned over the last year, and member MFIs, the Financial Literacy workshops were launched on 01 May 2023. The total number of workshops that will be organized in the rural areas - 1687, semi-urban - 450 and urban - 113. These workshops will have participants from 29 MFIs across 20 states and 83 districts.



F1 (b) HSBC project on "Enabling Digital Solutions to Overcome Digital Inclusion Barriers"



Sa-Dhan had rolled out a project "To Develop a Digital Ecosystem for Improving Access to Finance for Unbanked" supported by HSBC. In this connection, Sa-Dhan organized four Workshops in association with Pahal Financial Services Pvt. Ltd., Hindusthan Microfinance Pvt. Ltd., Midland Microfin Ltd. and Grameen Shakti Financial Services Pvt. Ltd. during 2022-23. The objective was to provide more awareness to clients to use digital tools for financial transactions. These trainings were imparted to more than a thousand rural women.

As part of the training tools, Sa-Dhan has developed two animated videos on Preventing Digital Fraud and the Use of QR Codes. The videos are developed in 10 languages such as Hindi, Bengali, Gujarati, Punjabi, Manipuri, Odia, Kannada, Tamil, Malayalam and Marathi. These videos are uploaded to social media for the benefit of all.

F2 Sa-Dhan's Intervention in Promoting Water and Sanitation Financing

F2 (a) Water.Org

Sa-Dhan has strong engagement in the water and sanitation financing segment and has been instrumental in bringing the water and sanitation portfolio under Priority Sector Lending. Sa-Dhan in collaboration with Water.org launched Water Credit Adoption (WCAD) program initially in Maharashtra in 2017 and subsequently expanded to other states such as Uttar Pradesh, Madhya Pradesh and Bihar. Sa-Dhan has signed an MOU with Water. Org for the next two years to provide credit to support to Tamil Nadu and Karnataka. Yet, as per the contract, partner MFIs can also finance the clients in all their operational areas.

The program aimed to scale up WASH Financing through MFIs in India. Sa-Dhan identified MFIs from the existing Water Credit Adoption (WCAD) states program and designed a pre-graduation program to strengthen their capacity in a more refined way. Also, It has shared key recommendations with partners to improve their processes and systems as per audit findings. Sa-Dhan advocated with several funding agencies to scale up the WASH portfolio and as a result 30 MFIs received ₹ 226 cr. financial assistance this past year. Furthermore, customized Information Education Communication (IEC) materials designed for MFIs to strengthen their marketing strategy were provided. Sa-Dhan has designated to develop knowledge papers on WASH financing to envisage the road map of this portfolio.



F2 (b)

Water and Sanitation Financing with FINISH

Sa-Dhan collaborated with FINISH Society to provide a safe and clean life for the marginalized people of Maharashtra, Bihar, and Rajasthan. Sa-Dhan as a facilitator is implementing the program while FINISH Society is providing technical assistance to strengthen the capacity of partner MFIs to scale up Water and Sanitation (WASH) Portfolio.



In addition, Sa-Dhan has facilitated with the partner MFIs to get financial assistance from domestic and international investors to expand the WASH portfolio.

Sa-Dhan along with the FINISH Society has organized four Multi-Stakeholder WASH workshops in Patna, Jaipur, Mumbai and Delhi respectively. The workshop's primary objective was to deliberate various challenges and opportunities under Water and Sanitation Financing in the states of Bihar Rajasthan and Maharashtra respectively. A knowledge paper for the respective states named "Scope of Water and Sanitation Financing for Microfinance Institutions & MSMEs" was developed with respect to each state.

F3 Making Agriculture Climate Smart



Workshop on Making Agriculture Climate Smart: Scaling up Technologies with Access to Finance: Sa-Dhan along with Sustain plus, CInI and GIZ India organized three workshops in a series in Ahmedabad, Odisha and Bengaluru. The objective was to explore opportunities in financing products which have been popularized by CInI and Sustain plus over the last 5 years . Solutions included sustainable irrigation practices, hydroponics which helps the growth of healthy cattle fodder and enhances milk quality, portable solar-powered refrigerators which can work off the grid, solar-powered millet roti machines etc.. Additionally, a round table meeting was also organized with the Climate Change Department Government of Gujarat along with MFIs, Banks, and other stakeholders.

G The National Conference and other Conclaves

G1 The National Conference









The 17th Sa-Dhan National Conference on Financial Inclusion was held on 14-15 November 2023 with great satisfaction. The theme for this year's Conference was "Promoting Women led Enterprises: Microfinance leads the Way". More than 500 participants and nearly 70 speakers with different areas of expertise participated and deliberated at the discussions.

Mr Jayant Sinha, Chairperson of the Standing Committee on Finance, Parliament of India, Mr Anil Kumar Sharma, Executive Director, Reserve Bank of India and Mr V Vaidyanathan MD & CEO of IDFC First Bank were the Guests of Honor at the conference. The Bharat Microfinance Report 2022 was released at the inaugural session. The conference witnessed in-depth deliberation on various relevant and contemporary topics viz. Opportunities and Challenges for Promoting, Financing and Handholding of Women Enterprises; Making Agriculture Climate- Smart Role of Microfinance; Achieving Environment, Social & Governance (ESG) Goals through the Social Stock Exchange; Powering Microfinance to achieve Sustainable Development Goals; Social Security: The missing link in Inclusive Growth; The Three Decades of the SHG Financing; Learning and Way Forward; New Regulatory Framework for Microfinance: MFIs Experiences and Role of SROs; Financing Agriculture Value Chains through Collectives; Cashless and Paperless: Digitization of Microfinance Operations; Spotlight East and North East India; Emerging Opportunities and Challenges; MFI Fraud Risk Management Exchange. Experts from different areas moderated and participated in the panel discussions.

G2 The Regional Conference at Chennai

After the successful conduct of the National Conference in Delhi, Sa-Dhan, for the first time organized a Regional Conference in Chennai. The theme for the conference was "Microfinance and Inclusive Growth: South India Shows the Path". The conference witnessed more than 200 participants and 30 speakers with different areas of expertise participating and deliberating.

The conference had in-depth deliberation on various topics viz Contribution of Microfinance in Financial Inclusion: Micro & Macro Perspectives, Facilitating Inclusive and Sustainable Growth, Innovations and Impact in Financial Inclusion Learning from the South, Meeting the Funding Need: Opportunities & Challenges. Experts from different areas moderated and participated in the panel discussions.



G3 State Financial Inclusion Conclave- Karnataka and UP

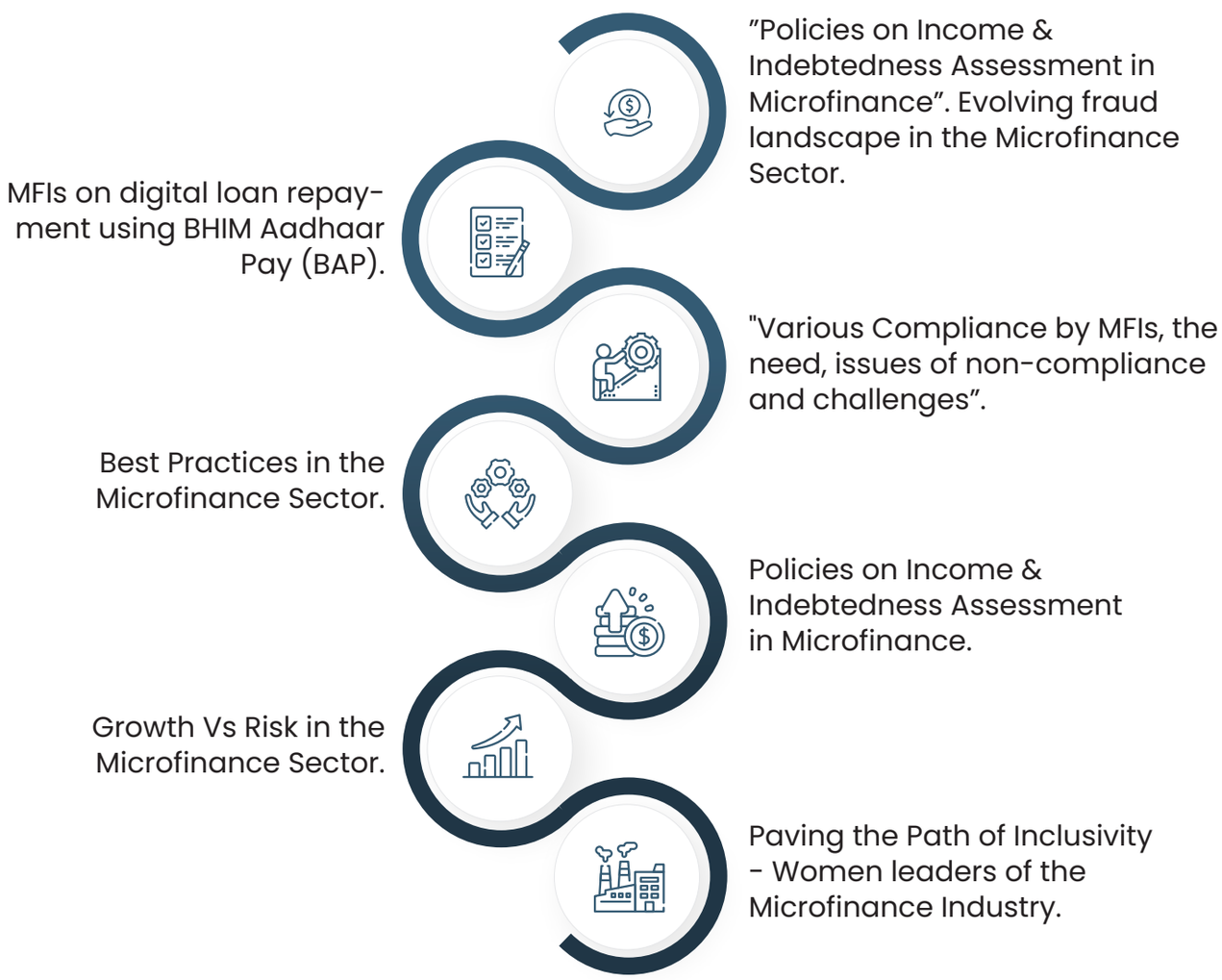
The State level financial Inclusion Conclaves supported by NABARD were organized at Bengaluru and Lucknow. These conclaves were attended by Senior Government Officials, Regulators, Bankers, MFIs and other agencies involved in financial inclusion. The RBI, NABARD and SLBC Convener actively participated in these conclaves. The conclave deliberated on the present status and future road map of Financial Inclusion in the States.



H Communication and Outreach

H1 Online Events

Sa-Dhan organized a series of webinars on various thematic areas of Microfinance where sector practitioners and experts had come together and shared their thoughts on various pertinent topics. With a view of capacity building of our members Sa-Dhan has organized the following Webinars during the year 2022-2023.



All the webinars are uploaded in the Sa-Dhan YouTube channel



‘Having more than one SRO is good for business’

Sa-dhan is the oldest body for micro-finance institutions, and the second self-regulatory body for the industry. Its latest quarterly report shows that at end-June, the microcredit book of 232 lenders (members) was ₹2.76 trillion — a growth of 5 per cent over the previous quarter — but an annual increase of 24 per cent. JUI MAMMEN, Sa-dhan's executive director and chief executive officer, spoke with Raghu Mohan. Edited excerpts:

Why is there still no uniformity in reporting data to the credit bureaus by microfinance players, despite everyone talking of its merits?

I feel reporting credit histories to bureaus has to be done on a weekly basis, if not on a fortnightly basis, as otherwise you will not get the correct systemic picture. Micro-finance institutions (MFIs) find it a little more difficult to upload the data, but in spite of this they do it on a fortnightly basis. Banks will also eventually come into it because their systems are aligned, and they can easily upload the data. If you were to look at the recent guidelines for digital lending by fintechs, the central bank has clearly talked about

time being they are going to continue with the ₹300,000 level. It's not in a uniform threshold of ₹300,000.

There's a view that peer-to-peer (P2P) lenders must be allowed to get into secured lending, as part of the effort to diversify their risks. Will this not overlap with MFIs' business at a certain level?

It will definitely overlap. Even fintechs work in the same area as MFIs, especially in the urban areas. That said, I don't think P2P or fintech lending has gone into the rural areas. Most of it is happening in the urban and semi-urban areas. I would only say, the more the merrier when it comes to

new regulatory norms, there was a feeling that the rejection rate at the field level had gone up considerably. To ascertain this, we did a quick survey, where 40-45 MFI members gave their feedback. One of the reasons for the uptick in rejection rates was that income levels have gone beyo up to ₹300, other reas outflows a of monthly household

Q&A

JUI MAMMEN
Executive Director & CEO,

newer geographies. And Sa-Dhan had developed a Credit Assessment Framework even before the new regulatory norms came into being. This was developed as a responsible lending practice, and we are planning to develop it as a software tool.

Microfinance is fostering financial inclusion

The government should further incentivise the sector through tax concessions and subsidised funding

Jiji Mammen

The concept of financial inclusion as a programme was first introduced in India in 2005 by the RBI. The objectives of financial inclusion are to provide a basic no-frills banking account for making and receiving payments, and other financial products like credit, remittance, insurance and pension, especially for the poor. But the emphasis has largely been on banking accounts.

The first approach of the RBI in financial inclusion was to provide banking outlets closer to the people and encourage them to open bank accounts. But after 2014, the government's emphasis shifted to everyone having a bank account through Pradhan Mantri Jan Dhan Yojana (PMJDY). The programme became a huge hit and within eight years nearly 48 crore new bank accounts were opened, with a balance of ₹1.77-lakh crore.

The government also came up with insurance and pension schemes like Pradhan Mantri Suraksha Bima Yojana, Pradhan Mantri Jeevan Jyoti Bima Yojana and Atal Pension Scheme. Although these have not got the same traction as PMJDY, they are still successful initiatives towards financial inclusion. However, from the All India Debt and Investments Survey, 77th round of NSSO, it can be gleaned that nearly three-quarters of rural and four-fifths of urban India are still outside the formal financial system. The poor still face scarcity of credit and bridging the credit gap has been a major challenge for policymakers.

As part of extending credit, microfinance institutions (MFIs) were among the several initiatives launched in the country. Today, there are more than 250 MFIs catering to nearly seven crore poor households. In addition, the self-help group (SHG) bank linkage programme has brought about 14.5 crore poor households in the fold of the banking system. There would be some overlaps, but it can be safely assumed that about half the population is covered by the microfinance initiatives and both streams together provide more than ₹4.5-lakh crore, which is equivalent to

AT THE DOORSTEP. MFI have reached far-flung areas of the country

about 10 per cent of the priority sector credit in the country.

Microfinance, through MFIs, has reached far-flung areas, and at the doorsteps of the poor. The ease of transacting with MFIs has made microfinance a popular product, even though the credit comes at a higher cost; but definitely not usurious as local moneylenders. It also helps in building a credit history for the people, especially those in the informal sector.

When the government started the Pradhan Mantri Mudra Yojana to support micro-enterprises in 2015, MFIs were taken as major partners. About 60 per cent of the credit extended under Shishu category of Mudra loans were contributed by MFIs. Of the balance, a significant number of accounts is financed by banks through banking correspondents and co-lending mode, which are mainly through the microfinance platform.

The government can further the microfinance movement in three ways. One, create a conducive environment for the functioning of MFIs; there were several instances where the micro-lending environment was vitiated by vested elements. Two, an incentive programme like tax concessions and subsidised funding or even credit guarantee will encourage MFIs to move into less-penetrated areas.

And, three, a programme can be initiated to transform existing development institutions to a viable financial intermediary, purveying micro-credit in its area of operation.

The writer is ED and CEO, Sa-Dhan. Views are personal

न्यूज ब्रीफ

माइक्रोफाइनेंस संस्थाओं के साथ ली बैठक, दिए महत्वपूर्ण निर्देश

उदयपुर | कलेक्टर ताराचंद मीणा ने शनिवार को जिले में संचालित माइक्रो फाइनेंस संस्थाओं के प्रतिनिधियों के साथ एक महत्वपूर्ण बैठक लेते हुए दिशा-निर्देश दिए। बैठक में माइक्रो फाइनेंस संस्थाओं के सेल्फ रेगुलेटरी आर्गेनाइजेशन (एसआरओ) सा-धन के वेस्ट जोन के रीजनल कॉर्डिनेटर महताब आलम ने माइक्रो फाइनेंस संस्थाओं के काम करने एवं फाइनेंस मॉडल के बारे में सभी को जानकारी दी। उन्होंने बताया कि माइक्रो फाइनेंस संस्थाओं द्वारा हमेशा समूह में एवं महिला सदस्यों को ही ऋण दिया जाता है तथा ऋण के सापेक्ष कोई खरीदी नहीं ली जाती है। इसके साथ ही ऋण की किस्त के भुगतान की जिम्मेदारी भी आपस में समूह के सदस्यों की होती है। बैठक के समन्वयक अग्रणी जिला प्रबंधक राजेश जैन ने कहा कि माइक्रो फाइनेंस संस्थाओं को ऋण देने के समय लोन कार्ड, ब्याज दर, बीमा शुल्क इत्यादि के बारे में हिंदी तथा स्थानीय भाषा में लोगों को जानकारी देनी होगी।

H2 Media

Sa-Dhan continuously and consistently engaged with media both at national and state levels. The media engagements were with a sector development perspective. Media covered the developments in the sector widely. Regular updates were shared with media on policy announcements, sensitizing media on the Quarterly Reports, different Projects, MFI operations, operational hazards of the sector etc.

During the year, Sa-Dhan was quoted by different media houses in more than 200 articles. Two articles of Sa-Dhan CEO giving new directions to the sector were published during the year, apart from few interviews by the leading media houses.

The team has been visibly aggressive on social media platform as well. Sa-Dhan worked tenaciously to identify trending stories about sector, fake news about the sector, response to media and/or netizen queries among others and has effectively used Twitter, LinkedIn and Facebook to narrate stories and position the Association as an organization that is a repository of knowledge. Sa-Dhan CEO & ED is often invited to share his views in the print media and the articles are carried out in the major newspapers. Sa-Dhan is regarded as a thought leader and media regularly reaches out to the association for critical inputs.





Media Coverages

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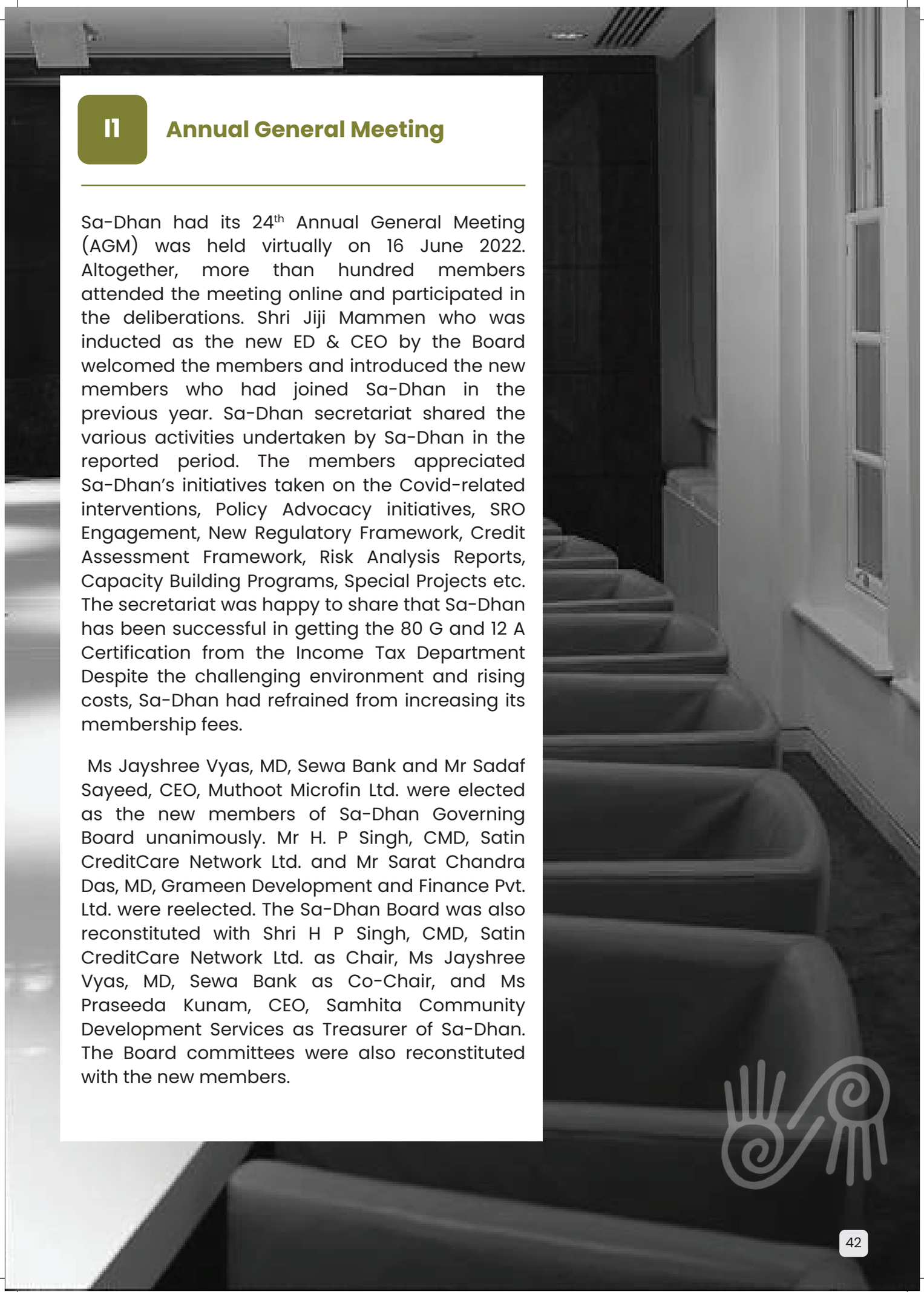
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Micro lenders grow 24 per cent

The combined portfolio of lenders as of June 30 was at Rs 2,75,750 crore against Rs 2,22,307 crore a year ago

A Staff Reporter | Calcutta | Published 24.08.22, 03:46 AM



11 Annual General Meeting

Sa-Dhan had its 24th Annual General Meeting (AGM) was held virtually on 16 June 2022. Altogether, more than hundred members attended the meeting online and participated in the deliberations. Shri Jiji Mammen who was inducted as the new ED & CEO by the Board welcomed the members and introduced the new members who had joined Sa-Dhan in the previous year. Sa-Dhan secretariat shared the various activities undertaken by Sa-Dhan in the reported period. The members appreciated Sa-Dhan's initiatives taken on the Covid-related interventions, Policy Advocacy initiatives, SRO Engagement, New Regulatory Framework, Credit Assessment Framework, Risk Analysis Reports, Capacity Building Programs, Special Projects etc. The secretariat was happy to share that Sa-Dhan has been successful in getting the 80 G and 12 A Certification from the Income Tax Department Despite the challenging environment and rising costs, Sa-Dhan had refrained from increasing its membership fees.

Ms Jayshree Vyas, MD, Sewa Bank and Mr Sadaf Sayeed, CEO, Muthoot Microfin Ltd. were elected as the new members of Sa-Dhan Governing Board unanimously. Mr H. P Singh, CMD, Satin CreditCare Network Ltd. and Mr Sarat Chandra Das, MD, Grameen Development and Finance Pvt. Ltd. were reelected. The Sa-Dhan Board was also reconstituted with Shri H P Singh, CMD, Satin CreditCare Network Ltd. as Chair, Ms Jayshree Vyas, MD, Sewa Bank as Co-Chair, and Ms Praseeda Kunam, CEO, Samhita Community Development Services as Treasurer of Sa-Dhan. The Board committees were also reconstituted with the new members.

12 Board Meetings

Sa-Dhan had its Board meetings and Board Committee meetings regularly as per the mandate. Following were details of the Board meetings held during the year.

	Date of the Meeting	Total Members	Present	Not Present
01	16 June 2022	11	9	2
02	6 September 2022	12	11	1
03	20 December 2022	11	10	1
04	17 March 2023	11	11	0

Additionally, a special Board meeting was also held on 27 October 2022 to finalize the new tagline vision, mission and goals of Sa-Dhan, which was unveiled during Sa-Dhan National Conference in November 2022.

J Other Activities

Sa-Dhan's Presence in Industry Events – Collective Industry Responsibility

J1 National Conclave on Financial Literacy

Sa-Dhan attended the National Conclave on Financial Literacy on January in Bangalore. The Conference was attended by Minister of State, Rural Development, Govt of India, Joint Secretary, RD, Govt of India, Senior Bureaucrats from State Government and Senior Bankers. A National level campaign on financial literacy was launched in the event which will be covering SHG members under NRLM.

J2 Roundtable on Fintechs for Affordable, Efficient and Convenient Access to Financial Services to All

Sa-Dhan ED & CEO participated and delivered the keynote address at the event organized by BIRD at Lucknow. The one -day Roundtable was designed with an objective to have an have in-depth discussion and debate on topical issues relating to digital financial inclusion, role of fintech service providers and availability of various models and challenges associated with adaptation of the same at client and lenders level. One of the key points that came up is that the need for a support mechanism to enhance the technology capability of the MFIs.



J3 East India Microfinance Conference

Sa-Dhan attended the 7th East India Microfinance Conference organized by AMFI. Sa-Dhan ED & CEO addressed the inaugural session and emphasized on the need to avoid overconcentration in credit as seen in certain districts and focus on less penetrated areas. He also stressed the need to adhere to COC very diligently.



J4 19th Inclusive Finance India Summit

Sa-Dhan actively participated at the summit and helped in designing the Session on With Unshackled Regulation - Time to Reimagine the Microfinance Model. Sa-Dhan ED & CEO was the Speaker at both the sessions on the Enabling Inclusive Workplaces in Microfinance and With Unshackled Regulation - Time to Reimagine the Microfinance Model.

J5 Unmasking Bias and unlocking credit

Sa-Dhan ED & CEO participated in a webinar organized by Women World Bank on this subject and indicated the need to involve women more actively in the nation building process. Accordingly, women enterprises may be encouraged.

J6 Partnership for improvement in the lives of the clients

Sa-Dhan forged partnership with institutions which can bring an improvement in the microfinance sector or the lives of the targets clients. They include:

01 Equifax

to develop a fraud exchange platform to avoid fraudulent borrowers in our business.

02 TRST Score

to develop a human rating score, based on their behavior with previous employers as well as their retail transactions and other behavioral patterns. This will help to build a good human resource for the business.

03 NextGen Fintech

to do a pilot for adopting a 'SIM inlay' for converting the feature phones into smartphone type features (this is being done on a pilot in Karnataka, to start with).

04 Engagement with Medoplus

Medoplus a health tech company dedicated to facilitate the healthcare journey aims an outcome for at least one crore healthcare seekers from rural India and small towns annually. In order to cater health needs of the poorer population in villages, Medoplus with the support of Sa-Dhan is helping the MFIs to develop a health product that will benefit the ultimate clients in emergency

J7

Sa-Dhan B2B Microfinance Conference

B2B Infomedia with support of Sa-Dhan had organized a Microfinance Conference in Bangalore, Karnataka on 25th August 2022. The objective of the Conference was to discuss scope for use of technology in various areas by MFIs and NBFCs. The event was attended by various Sa-Dhan member MFIs.

J8

Round table conference on "Making credit work for Poor

Sa-Dhan ED & CEO participated at the two days round table conference on Making credit work for poor organized by Dvara Research in association with CGAP and Bill Gates & Melinda Foundation at Chennai. The round table had around 70 participants, mostly those involved with the sector and thought leaders. The conference was divided into three sessions. The first one was on the Prevention of distress, second was on Identification of distress and the last one was on Alleviation of distress. Each session had theme papers presented by the lead speakers, either from CGAP or Dvara, followed by round table discussion by participants.

J9

Exposure Visit

Sa-Dhan organized an Exposure visit for the trainees of the International Training Program on Financial Inclusion and Digital Transformation, organized by NILRED and sponsored by the Ministry of External Affairs, Government of India to the catchment area of BFIL in Zohripur, in North Delhi. The purpose of the visit was to give real-world exposure of MFIs who are working to transforming the lives of the poor; and empowering the women. The full-day event has been well-received by the participants and their feedback is also very encouraging.

J10

Training of Senior professionals of MFIs at SKDRDP

The training was an invitation from BIRD Lucknow, 23 participants from nine MFIs attended the training. The training was on the technology adoption of the microfinance institutions. Sa-Dhan imparted the knowledge on the technology adaptation, the challenges and way forward.

V. SANKAR AIYAR & CO.

CHARTERED ACCOUNTANTS

Sarojini House, 6 Bhagwan Das Road, New Delhi – 110001

Tel.(011) 44744643; e-mail: newdelhi@vsa.co.in

Independent Auditors' Report

TO THE MEMBERS OF SA-DHAN ASSOCIATION

1. **Opinion**

We have audited the financial statements of **SA-DHAN ASSOCIATION**, which comprise the Balance Sheet as at 31 March 2023 and the statement of Income and Expenditure Account for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the financial statements, read with other notes given thereto, give a true and fair view in conformity with the accounting principles generally accepted in India:

i) in the case of the Balance Sheet, of the state of affairs of the Society as at 31 March 2023; and

ii) in the case of the Income and Expenditure Account, of the surplus for the year ended on that date.

2. **Basis for Opinion**

We conducted our audit in accordance with the Standards on Auditing (SAs) issued by ICAI. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Society in accordance with the Code of Ethics issued by Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethic. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

3. **Responsibilities of management for the financial statements**

Management is responsible for the preparation of these financial statements that give a true and fair view of the financial position and financial performance, of the Society in accordance with the accounting principles generally accepted in India, including the accounting standards issued by ICAI, to the extent applicable. This responsibility also includes maintenance of adequate accounting records for safeguarding of the assets of the Society and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Society's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Society or to cease operations, or has no realistic alternative but to do so.

Management is responsible for overseeing the Society's financial reporting process.

4. **Auditors' responsibility for the audit of the financial statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatement can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION

BALANCE SHEET AS AT 31 MARCH 2023

PARTICULARS	SCHD. NO.	CURRENT YEAR		PREVIOUS YEAR	
SOURCES OF FUNDS					
Corpus Funds	1		6,48,39,660		6,33,22,160
Restricted Funds	2		22,36,701		56,57,905
Unrestricted Funds	3		3,17,89,909		2,48,71,858
Capital Asset Fund	4		4,80,335		4,98,189
TOTAL			**9,93,46,605**		**9,43,50,112**
APPLICATION OF FUNDS					
Fixed Assets (at cost less depreciation)	5		4,80,335		4,98,189
Fixed Deposits	6		5,21,31,431		5,14,90,148
Current Assets, Loans and Advances (A)	7	4,78,01,729		4,31,65,016	
Current Liabilities (B)	8	10,66,891		8,03,242	
Net Current Assets (A-B)			4,67,34,838		4,23,61,774
TOTAL			**9,93,46,605**		**9,43,50,112**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

V. SANKAR AIYAR & CO. NEW DELHI CHARTERED ACCOUNTANTS

(M. S. Balachandran)
Partner
M.No. 024282

Place : New Delhi
Date : June 15, 2023

For and on behalf of Board
Sa-Dhan

Praseeda

(Praseeda Kunam)
Treasurer

(HP Singh)
Chairperson

(Jiji Mammen)
Executive Director & CEO

SA-DHAN A-1248, 3rd Floor, Safdarjung Enclave, N.D.-29 Sa-Dhan

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION

INCOME & EXPENDITURE ACCOUNT FOR THE YEAR ENDED 31 MARCH 2023

PARTICULARS	SCHD. NO.	CURRENT YEAR		PREVIOUS YEAR	
INCOME					
Grants and Contributions Received	9		2,40,78,736		1,70,29,636
Membership Fee			2,00,59,000		1,86,96,500
Interest Income			48,62,830		49,25,043
Voluntary Contributions			45,85,000		50,55,000
Fees from Activities			58,14,641		36,120
Participation and Training Fees			12,11,799		3,70,852
Other Income			63,273		4,185
TOTAL			**6,06,75,279**		**4,61,17,335**
EXPENDITURE					
PROGRAMME EXPENDITURE:					
Member Development Support & CBEO	10	2,68,71,586		1,85,08,435	
Policy Advocacy & Sector Representation	11	1,62,41,944		1,02,43,094	
Self Regulatory Organisation Activities	12	59,95,813		51,66,569	
Research & Analysis	13	26,26,355		16,05,718	
Administration Expenses	14	53,43,425	5,70,79,123	42,43,653	3,97,67,469
Depreciation		(85,806)		86,849	
Less: Transfer from Capital Assets Fund		85,806	-	(86,849)	-
Transferred to Capital Assets Fund (Purchase of FA)			99,309		8,330
TOTAL			**5,71,78,432**		**3,97,75,799**
Excess of Income over Expenditure for the year			**34,96,847**		**63,41,537**
Taken to Unrestricted Funds (Sch-3)			69,18,051		97,19,818
Taken to Restricted Funds (Sch-2)			(34,21,204)		(33,78,282)
			34,96,847		**63,41,537**
			-		-

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

(M. S. Balachandran)
Partner
M.No. 024282

V. SANKAR AIYAR & CO. NEW DELHI CHARTERED ACCOUNTANTS

For and on behalf of Board
Sa-Dhan

(Praseeda Kunam)
Treasurer

(HP Singh)
Chairperson

(Jiji Mammen)
Executive Director & CEO

SA-DHAN Sa-Dhan

Place : New Delhi
Date : June 15, 2023

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION

SCHEDULE TO BALANCE SHEET FOR THE YEAR ENDED 31 MARCH 2023

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
SCHEDULE 1 : CORPUS FUND		
The Ford Foundation	2,29,52,160	2,29,52,160
Corpus from Omidyar Network	2,18,95,000	2,18,95,000
Corpus from Members	1,88,71,500	1,73,54,000
Sa-Dhan's Contribution to Corpus Fund	11,21,000	11,21,000
TOTAL	**6,48,39,660**	**6,33,22,160**
SCHEDULE 2 : RESTRICTED FUND		
Opening Balance	56,57,905	90,36,187
Add: Fund received during the year	1,60,55,378	1,04,46,010
Less: Amount utilised during the year	(1,94,76,582)	(1,38,24,291)
TOTAL	**22,36,701**	**56,57,905**
SCHEDULE 3 : UNRESTRICTED FUND		
Opening Balance	2,48,71,858	1,51,52,039
Add: Fund received during the year	4,46,19,901	3,56,71,326
Less: Amount utilised during the year	(3,77,01,850)	(2,59,51,507)
TOTAL	**3,17,89,909**	**2,48,71,858**
SCHEDULE 4 : CAPITAL ASSETS FUND		
Opening Balance	4,98,189	5,76,708
Add: Addition to Fixed Assets	99,309	8,330
Add : Deletion of Assets at WDV	(31,357)	-
Less : Depreciation for the year	(85,806)	(86,849)
TOTAL	**4,80,335**	**4,98,189**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

(M. S. Balachandran)
Partner
M.No. 024282

V. SANKAR AIYAR & CO. NEW DELHI CHARTERED ACCOUNTANTS

For and on behalf of Board
Sa-Dhan

(Praseeda Kunam)
Treasurer

(HP Singh)
Chairperson

(Jiji Mammen)
Executive Director & CEO

Place : New Delhi
Date : June 15, 2023

SA-DHAN A.128 D.N. Sa-Dhan

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Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION
SCHEDULE TO BALANCE SHEET FOR THE YEAR ENDED 31 MARCH 2023

SCHEDULE 5: FIXED ASSETS

PARTICULARS	GROSS BLOCK				DEPRECIATION					NET BLOCK	
	As At 01.04.2022	Addition	Deletion	As At 31.03.2023	Rate of Dep.	As At 01.04.2022	For the year	Written back	As At 31.03.2023	As At 31.03.2023	As At 01.04.2022
FOREIGN FUNDS											
Professional Equipment	5,22,324	-	-	5,22,324		5,11,324		-	5,11,324	11,000	11,000
Office Equipment	1,38,484	-	-	1,38,484		1,32,484		-	1,32,484	6,000	6,000
Furniture & Fixture	2,11,857	-	-	2,11,857		2,07,857		-	2,07,857	4,000	4,000
Sub Total [A]	**8,72,665**	**-**	**-**	**8,72,665**	**-**	**8,51,665**	**-**	**-**	**8,51,665**	**21,000**	**21,000**
INDIAN FUNDS											
Professional Equipment	13,99,966	43,070	-	14,43,036	16.21%	12,59,458	47,960	-	13,07,418	1,35,618	1,40,508
Office Equipment	5,88,797	56,239	56,150	5,88,886	4.77%	2,99,248	29,807	24,793	3,04,261	2,84,625	2,89,549
Furniture & Fixture	1,67,581	-	-	1,67,581	6.33%	1,20,449	8,039	-	1,28,488	39,093	47,132
Sub Total [B]	**21,56,344**	**99,309**	**56,150**	**21,99,503**		**16,79,154**	**85,806**	**24,793**	**17,40,168**	**4,59,335**	**4,77,190**
TOTAL [A+B]	**30,29,009**	**99,309**	**56,150**	**30,72,168**		**25,30,819**	**85,806**	**24,793**	**25,91,832**	**4,80,335**	**4,98,190**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

(M. S. Balachandran)
Partner
M.No. 024282

V. SANKAR AIYAR & CO. NEW DELHI CHARTERED ACCOUNTANTS

Place : -New Delhi
Date : June 15, 2023

For and on behalf of Board
Sa-Dhan

(Praseeda Kunam)
Treasurer

(HP Singh)
Chairperson

(Jiji Mammen)
Executive Director & CEO

SA-DHAN A1248 Sa-Dhan

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Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION

SCHEDULE TO BALANCE SHEET FOR THE YEAR ENDED 31/03/2023

PARTICULARS	CURRENT YEAR		PREVIOUS YEAR	
SCHEDULE 6 : FIXED DEPOSITS				
In Fixed Deposits with Banks/Approved NBFC's		5,21,31,431		5,14,90,148
TOTAL		**5,21,31,431**		**5,14,90,148**
SCHEDULE 7 : CURRENT ASSETS, LOANS & ADVANCES				
Current Assets				
Bank Balances (In Savings and Current Accounts)	3,10,13,169		2,25,34,006	
Quantum Deposit with Bank	35,66,720		1,12,30,798	
Cash in hand	7,330	3,45,87,219	11,913	3,37,76,717
Loans and Advances				
TDS Recoverable	73,77,750		55,61,344	
GST	-		53,573	
Security Deposits (Office premises)	2,26,500		2,26,500	
Accrued Interest	18,64,340		8,45,782	
Amount Recoverable	4,06,901		11,901	
Other Receivables	31,14,020		10,52,000	
Advance to Vendors	-		24,200	
Loan to Staff	2,25,000		16,13,000	
		1,32,14,511		93,88,300
TOTAL		**4,78,01,729**		**4,31,65,016**
SCHEDULE 8 : CURRENT LIABILITIES AND PROVISIONS				
TDS Payable	4,91,429		4,18,671	
PF Payable	1,96,395		1,68,565	
GST Payable	22,677		-	
Expenses Payable	3,56,390		2,16,006	
		10,66,891		8,03,242
TOTAL		**10,66,891**		**8,03,242**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

(M. S. Balachandran)
Partner
M.No. 024282

V. SANKAR AIYAR & CO. NEW DELHI CHARTERED ACCOUNTANTS

For and on behalf of Board
Sa-Dhan

(Praseeda Kunam)
Treasurer

(HP Singh)
Chairperson

(Jiji Mammen)
Executive Director & CEO

Place : New Delhi
Date : June 15, 2023

SA-DHAN Sa-Dhan A-1/248, 3rd Floor, Safdarjung Enclave, N.D.-29

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION

SCHEDULE TO INCOME & EXPENDITURE ACCOUNT FOR THE YEAR ENDED 31 MARCH 2023

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
SCHEDULE 9 : GRANTS AND CONTRIBUTIONS RECEIVED		
Foreign Contributions	1,11,96,878	1,06,09,890
Indian Contributions		
Contribution from Indian Agencies	5,50,000	13,35,000
Sponsorship	1,23,31,858	50,84,746
TOTAL	**2,40,78,736**	**1,70,29,636**
SCHEDULE 10 : MEMBER DEVELOPMENT SUPPORT & CBEO		
Consultancy Charges	91,86,784	94,36,542
Salaries & Benefits	93,98,793	65,19,282
Travelling Expenses	33,36,548	6,72,866
Meeting Expenses	33,71,714	2,05,900
Printing & Stationery	15,49,695	5,02,141
Communication Expenses	15,500	50,100
Mementos	10,752	-
Office Maintenance	-	71,000
Miscellaneous Expenses	1,800	5,904
HR Support to MFI	-	10,44,700
TOTAL	**2,68,71,586**	**1,85,08,435**
SCHEDULE 11 : POLICY ADVOCACY & SECTOR REPRESENTATION		
Salaries & Benefits	51,95,225	55,01,187
Meeting Expenses	40,41,307	6,14,590
Consultancy Charges	31,23,555	28,17,354
Travelling Expenses	11,52,766	1,26,260
Printing & Stationery	14,79,924	4,13,104
Communication Expenses	7,85,404	6,87,854
Mementos	3,81,635	53,554
Miscellaneous Expenses	82,128	26,191
Office Maintenance	-	3,000
	1,62,41,944	**1,02,43,094**
SCHEDULE 12 : SELF REGULATORY ORGANISATION ACTIVITIES		
Salaries & Benefits	31,47,914	27,68,456
Consultancy Charges	20,74,848	14,37,019
Travelling Expenses	4,61,695	2,46,946
Credit Bureaus Reports	-	6,65,748
Communication Expenses	69,393	48,400
Printing & Stationery	2,01,512	-
Miscellaneous Expenses	1,395	-
Meeting Expenses	39,056	-
TOTAL	**59,95,813**	**51,66,569**

V. SANKAR AIYAR & CO. * CHARTERED ACCOUNTANTS * NEW DELHI

SA-DHAN * 82, D.N. 248, 3rd Floor, Safdarjung Enclave, N. D. * Sa-Dhan

Sa-Dhan
Fostering Inclusive Impact Finance

SA-DHAN ASSOCIATION

SCHEDULE TO INCOME & EXPENDITURE ACCOUNT FOR THE YEAR ENDED 31 MARCH 2023

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
SCHEDULE 13 : RESEARCH & ANALYSIS		
Consultancy Charges	4,44,623	2,07,308
Salaries & Benefits	16,13,686	13,84,228
Travelling Expenses	15,012	-
Printing & Stationery	5,44,534	-
Communication Expenses	8,500	14,182
TOTAL	**26,26,355**	**16,05,718**
SCHEDULE 14 : ADMINISTRATION EXPENSES		
Salaries & Benefits	21,12,190	18,66,505
Office Maintenance	16,08,074	15,12,822
Consultancy Charges	3,78,793	1,81,160
Travelling Expenses	1,02,571	12,872
Meeting Expenses	65,420	5,761
Miscellaneous Expenses	3,34,346	1,22,029
Communication Expenses	1,67,168	1,02,333
Repair & Maintenance	1,27,916	1,29,028
Printing & Stationery	1,62,608	56,983
Audit Fees	2,79,500	2,53,350
Finance Charges	4,839	810
TOTAL	**53,43,425**	**42,43,653**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

(M. S. Balachandran)
Partner
M.No. 024282

V. SANKAR AIYAR & CO. NEW DELHI CHARTERED ACCOUNTANTS

For and on behalf of Board
Sa-Dhan

(Praseeda Kunam)
Treasurer

(HP Singh)
Chairperson

(Jiji Mammen)
Executive Director & CEO

SA-DHAN A-1/248, 3rd Floor, Safdarjung Enclave, N.D.-29

Place : New Delhi
Date : June 15, 2023

Sa-Dhan
Fostering Inclusive Impact Finance

SCHEDULE 15

SA-DHAN ASSOCIATION

RECEIPT & PAYMENT ACCOUNT FOR THE YEAR ENDED 31 MARCH 2023

Funding Agency	Opening Balance	Receipts			Payments			Excess of receipts over payments/ (payments over receipts)	Closing Balance trf to Balance Sheet Schedule
		Contribution	Interest & Other Income	Total Receipts	Revenue Expenditure	Capital Expenditure	Total Payments		
(A) Corpus Fund									
a) Foreign Funds									
The Ford Foundation	2,29,52,160	-	-	-	-	-	-	-	2,29,52,160
Omidyar Networks	2,18,95,000	-	-	-	-	-	-	-	2,18,95,000
b) Indian Funds									
Corpus from Members	1,73,54,000	15,17,500	-	15,17,500	-	-	-	-	1,88,71,500
Sa-Dhan's Contribution to Corpus Fund	11,21,000	-	-	-	-	-	-	-	11,21,000
Total Corpus Funds	**6,33,22,160**	**15,17,500**	**-**	**15,17,500**	**-**	**-**	**-**	**-**	**6,48,39,660**
(B) Restricted Funds									
a) Indian Funds									
BRLPS	(1,73,664)	-	-	-	-	-	-	-	(1,73,664)
NABARD - EShakti	-		23,31,000	23,31,000	23,31,000	-	23,31,000	-	-
Tata Trust (Sustain Plus) & GIZ - Climate	-		27,77,500	27,77,500	27,77,500	-	27,77,500	-	-
Total Indian Restricted Funds(a)	**(1,73,664)**	**-**	**51,08,500**	**51,08,500**	**51,08,500**	**-**	**51,08,500**	**-**	**(1,73,664)**

V. SANKAR AIYAR & CO. * CHARTERED ACCOUNTANTS * NEW DELHI

Praseeda

SA-DHAN * 42-43, 1248, 3rd Floor, Safdarjung Enclave, N.D.-29 * Sa-Dhan

Funding Agency	Opening Balance	Receipts			Payments			Excess of receipts over payments/ (payments over receipts)	Closing Balance trf to Balance Sheet Schedule
		Contribution	Interest & Other Income	Total Receipts	Revenue Expenditure	Capital Expenditure	Total Payments		
b) Foreign Funds								-	-
Develop Digital Ecosystem - HSBC	53,77,896	-	-	-	53,79,833	-	53,79,833	(53,79,833)	(1,937)
Develop Digital Ecosystem - HSBC 2nd Phase		38,44,500	-	38,44,500	38,46,525	-	38,46,525	(2,025)	(2,025)
Rural Development Organization - WASTE	-	14,90,951		14,90,951	13,92,487	-	13,92,487	98,464	98,464
Water.org-WCAD - TN KA		25,49,100	-	25,49,100	10,69,722	-	10,69,722	14,79,378	14,79,378
Water.org- WCAD Pre-Graduate Program	4,53,673	30,62,327	-	30,62,327	26,79,515	-	26,79,515	3,82,812	8,36,485
Total FCRA Restricted Funds (b)	**58,31,569**	**1,09,46,878**	**-**	**1,09,46,878**	**1,43,68,082**	**-**	**1,43,68,082**	**(34,21,204)**	**24,10,365**
Total Restricted Funds (a+b)	**56,57,905**	**1,09,46,878**	**51,08,500**	**1,60,55,378**	**1,94,76,582**	**-**	**1,94,76,582**	**(34,21,204)**	**22,36,701**
(C) Unrestricted Funds									
a) Indian Funds	2,74,87,679	51,35,000	3,69,34,685	4,20,69,685	3,57,00,492	99,309	3,57,99,801	62,69,884	3,37,57,563
b) Foreign funds	(26,15,821)	2,50,000	23,00,216	25,50,216	19,02,049	-	19,02,049	6,48,167	(19,67,654)
Total Unrestricted Funds	**2,48,71,858**	**53,85,000**	**3,92,34,901**	**4,46,19,901**	**3,76,02,541**	**99,309**	**3,77,01,850**	**69,18,051**	**3,17,89,909**

As per our Report of even date
For V. Sankar Aiyar & Co.
Chartered Accountants
ICAI FRN: 109208W

(M. S. Balachandran)
Partner
M.No. 024282

V. SANKAR AIYAR & CO. * NEW DELHI * CHARTERED ACCOUNTANTS *

For and on behalf of Board
Sa-Dhan

(Praseeda Kunam)
Treasurer

(HP Singh)
Chairperson

(Jiji Mammen)
Executive Director & CEO

SA-DHAN * A-1248 * D.N.E. Sa-Dhan

Place : New Delhi
Date : June 15, 2023

Sa-Dhan
Fostering Inclusive Impact Finance



ANNUAL REPORT

2022-2023



A year dedicated to fostering an Inclusive and Responsible microfinance sector